

10 Questions on LLM Entrepreneurship

- 1. Should you build a foundational model?** Startups should **not** build foundational models; the leaders already have a three-year head start. The exception is if the company scales later and possesses unique vertical data—similar to how Cursor developed Composer 1.5—then you can build your own vertical-specific model.
- 2. To B or To C? Domestic or Overseas?** The mainstream path for AI startups now is To C for user volume (low ARPU) and To B for user quality (high ARPU). The overseas market is undoubtedly more profitable with higher valuations. I believe both can be pursued depending on the specific business. My recommendation: use To C in the early stages to gain massive traffic and accumulate proprietary data, then optimize the service to attract high-value B-end clients. Monetize the C-end through "high volume" and the B-end through "high margin."
- 3. USD or RMB Venture Capital?** USD investors are generally more willing to take big bets, but if you operate in China, the ecosystem of "Big Tech" (the giants) is crucial. It depends on your specific business positioning, but overall, **USD capital is preferable**.
- 4. Is AI-native application a Mobile-Internet-level opportunity? Absolutely.** Apps like Cursor, Typeless, and Lovaat have already proven this.
- 5. Is your vision AGI? Absolutely, yes.** I believe only by having AGI as a vision can you build products that truly edge closer to AGI.
- 6. Can the "hallucination" problem of LLMs be solved?** Certainly. It can be addressed through Alignment Fine-tuning, using World Models as grounded environments, Context Learning, and high-value data curation.
- 7. How can LLM infrastructure become profitable?** Infra is a "picks and shovels" business. There is no secret sauce other than out-innovating others on iteration speed, tool quality, and seizing the power to define industry standards.
- 8. Where is your "moat"? Data, ecosystem, and traffic** are the only true moats for an internet company. It is **not** technology. I repeat: it is not technology.
- 9. Is your business model scalable?** The best way to scale is through **PaaS (Platform as a Service)**. Our business model is designed as a PaaS from day one.
- 10. How do you handle LLM regulation and legal liabilities?** Strictly adhere to industry standards, maintain constant communication with legal teams experienced in the field, and treat compliance with high strategic importance.